

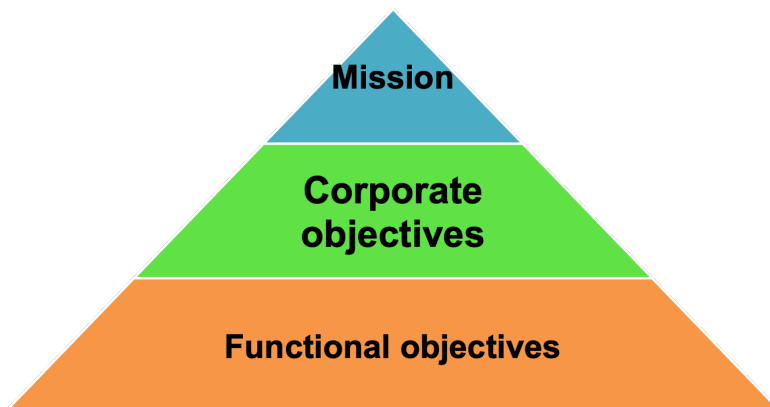
1 - Corporate Objectives (knowledge recall)

Flipped learning - Please watch the short video below before the start of the lesson



Learning Outcome

To be able to explain the development and appraisal of corporate objectives



The mission statement is broken down into corporate objectives.

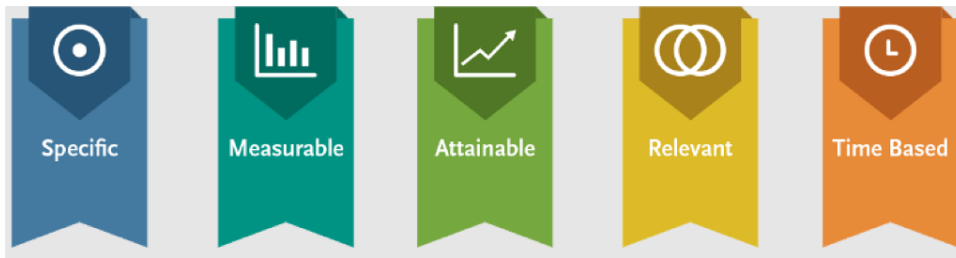
Corporate (strategic) objectives give the business clearly defined targets.

In most businesses they divide up the work into departments or functions; sales, marketing, human resources, operations and finance

Each department will be set functional objectives which will flow from the corporate objectives.

Strategies (plans) can then be devised to achieve these targets.

S M A R T



S – Specific – objectives are aimed at what the business does, e.g. a hotel might have an objective of filling 60% of its beds a night during October, an objective specific to that business.

M - Measurable – the business can put a value to the objective, e.g. £10,000 in sales in the next half year of trading.

A – Agreed (or attainable) by all those concerned in trying to achieve the objective.

R - Realistic – the objective should be challenging, but it should also be able to be achieved by the resources available.

T- Time specific – they have a time limit of when the objective should be achieved, e.g. by the end of the year.



At some point, we've all played with Lego or would have liked to, they are the world's largest manufacturer of toys which is popular around the world. They have a very specific mission which is to 'inspire and develop the builders of tomorrow', so although it is a toy, it's not just for mere fun, but Lego has the value of learning in its roots.

Lego have carried out market research and have found that the safety and quality of their products and communication with children are the most important needs for the company.

Lego had set five corporate objectives which were to have zero product recalls, to be one of the top 10 firms for employee safety, to support learning for 101 million children by 2022, to use 100% renewable energy by 2023 and finally, to adopt a zero waste mindset.

Lego recently carried out an assessment of their performance and found that they had zero product recalls, employee satisfaction was above expected, millions of children were educated although not the 101 million target that was set and waste levels had significantly fallen.

Lego has a significant size of market share in Europe but not Asia, although Asian countries are developing and so are disposable incomes which could change this.

Assess the extent to which zero product recalls is the most important objective for LEGO's success (12)

Make sure your answer has application throughout

Paragraph 1 POINT	One reason why it is important is.... This is because...

IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, another objective that is important is... This is because... This will lead to... Therefore... As a result, ...
Conclusion:	Overall, zero product recalls is the most important/not as important/of equal importance This is because... However, success will depend upon...

	It is recommended that...
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